Customer Segmentation Analysis

A comprehensive study of customer behaviour, purchasing patterns, and demographic profiles using clustering techniques to drive targeted business strategies.

DATASET	SEGMENTS	FEATURES	YEAR
200 Customers	5 Clusters	11 Variables	2025

ANALYSIS BY
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200	5	11
CUSTOMERS	SEGMENTS	FEATURES

SECTION 01

Executive Summary

TOTAL CUSTOMERS	AVG ANNUAL INCOME	AVG SPENDING SCORE	AVG CREDIT SCORE	AVG LOYALTY (YRS)
200	$60.6k	50.2	743.7	5.9
Full dataset analysed	Across all segments	Out of 100	Good credit range	High retention rate

Budget Customers Dominate

40.5% of all customers fall into the Budget segment with moderate income ($55.3k avg) and balanced spending behaviour.

Premium: Best ROI Targets

Premium customers (19.5%) show the highest spending score (82.1) paired with high income ($86.5k) — top priority for upsell campaigns.

Impulsive Segment Opportunity

Highest earners ($88.2k avg) but lowest spenders (17.1 score) — significant untapped revenue potential with targeted engagement.

Conservative Loyalty

Conservative customers spend high (79.4) despite low income ($25.7k), preferring Luxury products — driven by loyalty (6.1 avg years).

Female Customer Majority

56% of customers are female. Female dominance is highest in Budget (48 vs 33) and Conservative segments (13 vs 9).

Electronics Leads Categories

Electronics is the most preferred category (78 customers), followed by Luxury (54), Fashion (41), and Budget shopping (27).

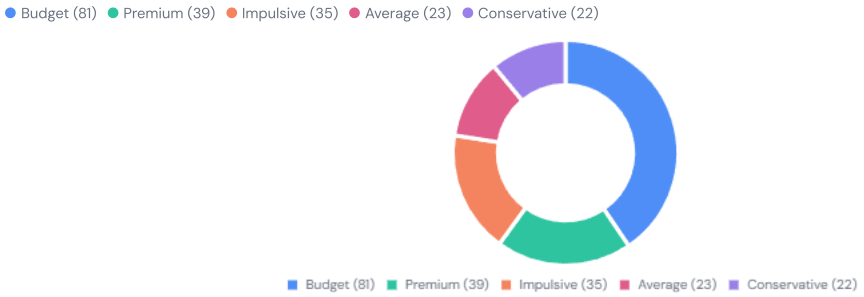
SEGMENT	CUSTOMERS	AVG INCOME	AVG SPENDING SCORE	AVG CREDIT SCORE	AVG LOYALTY	TOP CATEGORY	SHARE
Budget Customers	81	$55.3k	49.5	779.5	6.3 yrs	Electronics	40.5%
Premium Customers	39	$86.5k	82.1	830.8	6.9 yrs	Luxury	19.5%
Impulsive Customers	35	$88.2k	17.1	850.0	4.5 yrs	Electronics	17.5%
Average Customers	23	$26.3k	20.9	654.6	5.1 yrs	Budget	11.5%
Conservative Customers	22	$25.7k	79.4	381.1	6.1 yrs	Luxury	11.0%

SECTION 02

Visual Analysis

SEGMENT DISTRIBUTION

Proportion of customers across all 5 behavioural segments.



INCOME VS SPEI

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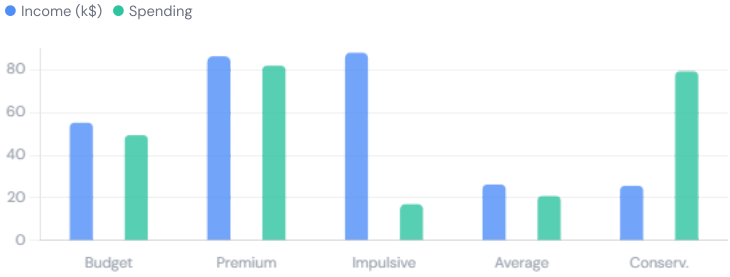
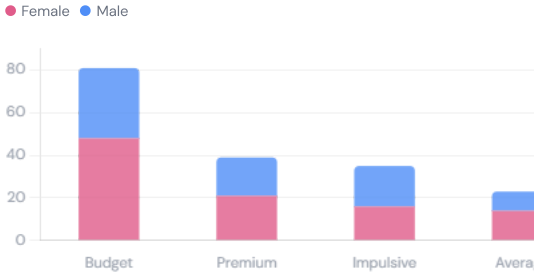
AVG INCOME & SPENDING BY SEGMENT

Side-by-side comparison of key metrics per segment.



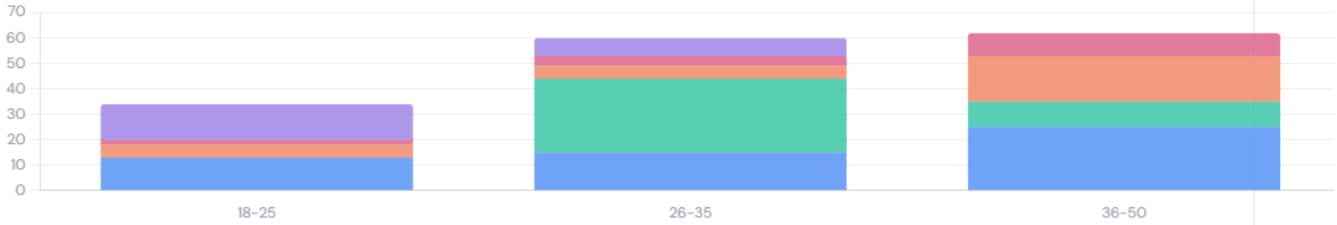
GENDER SPLIT BY SEGMENT

Female vs Male distribution within each segment.



AGE GROUP DISTRIBUTION ACROSS SEGMENTS

How different age groups are distributed across each customer segment — revealing generational purchasing patterns.



SECTION 03

Business Recommendations

BUDGET CUSTOMERS (40.5%)

Maximise Volume with Value Offers

The largest segment with high credit scores (779.5) and strong loyalty (6.3 yrs). Focus on volume-based promotions, loyalty rewards, and Electronics deals to maintain engagement and gradually increase spending scores.

Loyalty Programs · Bundle Deals · Electronics Offers

PREMIUM CUSTOMERS (19.5%)

Upsell with Exclusive Experiences

Highest spenders with strong income and loyalty (6.9 yrs). Invest in VIP experiences, early product access, and personalised luxury recommendations. This segment yields the highest revenue per customer.

VIP Access · Premium Bundles · Personalisation

IMPULSIVE CUSTOMERS (17.5%)

Re-Engage with Targeted Campaigns

Highest earners ($88.2k) but lowest spenders (17.1) — a major untapped opportunity. Deploy targeted re-engagement campaigns, flash sales, and personalised recommendations to convert earning power into spending activity.

Flash Sales · Re-engagement · Email Campaigns

AVERAGE CUSTOMERS (11.5%)

Nurture Upward with Incentives

Low income and low spending — but Budget category preference shows price sensitivity. Introduce instalment plans, cashback offers, and gradual upgrade paths to move them towards the Budget or Premium tiers over time.

Cashback Offers · Instalment Plans · Upgrade Path

AVG ESTIMATED SAVINGS BY SEGMENT

Financial safety net of customers per segment — informing credit and financing strategy.

CONCLUSION

This customer segmentation analysis reveals five distinct behavioural groups with significantly different income levels, spending habits, and product preferences. The findings enable precise, data-driven marketing strategies — from nurturing Budget customers with value offers to unlocking the revenue potential of the high-earning Impulsive segment. Implementing segment-specific campaigns is projected to improve customer engagement, reduce churn, and increase overall revenue efficiency.